

Laxmi Charitable Trust's
Sheth L.U.J College of Arts & Sir M.V. College of Science and Commerce
Department of Information Technology (B.Sc.I.T Semester V)
Applied Business Analytics Practical

Practical – VIII

Roll No.: T009	Name:Siddhesh Kamble
Class: TYIT	Batch: 01
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8. Confidence Interval Estimation:

- Calculate confidence intervals for population means or proportions using sample data and interpret the results in a business context.
- Apply bootstrapping techniques to estimate confidence intervals for non-parametric statistics.

```
# Practical 8: Confidence Interval Estimation and Bootstrapping
# Dataset: supermarket_sales.csv

import pandas as pd
import numpy as np
import matplotlib.pyplot as plt
from scipy import stats
```

[29] ✓ 0.0s Python

PART A: CONFIDENCE INTERVAL ESTIMATION

```
# 1. Load the supermarket_sales.csv dataset
df = pd.read_csv("supermarket_sales.csv")
```

[30] ✓ 0.0s Python

```
# 2. Display first five records and size of dataset
print("First Five Records:")
print(df.head())
print("\nDataset Size:")
print(df.shape)
```

[31] ✓ 0.0s Python

```
First Five Records:
   invoice_id  branch  city customer_type  gender_customer \
0  750-67-8428     A   Yangon      Member      Female
1  226-31-3081     C  Naypyitaw    Normal      Female
2  631-41-3108     A   Yangon      Normal      Male
3  123-19-1176     A   Yangon      Member      Male
4  373-73-7910     A   Yangon      Normal      Male

   product_line  unit_cost  quantity  Spct_markup  revenue \
0  Health and beauty      74.69         7      26.1415  548.9715
1  Electronic accessories    15.28         5       3.8200   80.2200
2   Home and lifestyle     46.33         7     16.2155  340.5255
3  Health and beauty     58.22         8     23.2880  489.0480
4  Sports and travel     86.31         7     30.2085  634.3785

   date    time  payment_method  cogs  gm_pct  gross_income  rating
0  01/05/19  13:08      Ewallet  522.83  4.761905      26.1415    9.1
1  03/08/19  10:29        Cash   76.40  4.761905       3.8200    9.6
2  03/03/19  13:23  Credit card  324.31  4.761905      16.2155    7.4
3  1/27/2019  20:33      Ewallet  465.76  4.761905     23.2880    8.4
4  02/08/19  10:37      Ewallet  604.17  4.761905     30.2085    5.3

Dataset Size:
(1000, 17)
```

```
# 3. Select the revenue column
revenue = df["revenue"]
```

[32] ✓ 0.0s Python

```
# 4. Check and handle missing values
print("\nMissing Values in Revenue:")
print(revenue.isnull().sum())
revenue = revenue.dropna()
```

[33] ✓ 0.0s Python

Missing Values in Revenue:
0

```
# 5. Calculate sample size, sample mean and sample standard deviation
n = len(revenue)
sample_mean = revenue.mean()
sample_std = revenue.std()
print("\nSample Size:", n)
print("Sample Mean:", sample_mean)
print("Sample Standard Deviation:", sample_std)
```

[34] ✓ 0.0s Python

Sample Size: 1000
Sample Mean: 322.966749
Sample Standard Deviation: 245.88533510097187

```
# 6, 7, 8. Calculate 90%, 95% and 99% Confidence Intervals
confidence_levels = [0.90, 0.95, 0.99]
confidence_results = []
for confidence in confidence_levels:
    standard_error = sample_std / np.sqrt(n)
    margin_error = stats.t.ppf(
        (1 + confidence) / 2,
        df=n - 1
    ) * standard_error
    lower = sample_mean - margin_error
    upper = sample_mean + margin_error
    confidence_results.append([
        confidence * 100,
        lower,
        upper
    ])
```

[35] ✓ 0.0s Python

```
# 9. Display confidence intervals in a table
ci_table = pd.DataFrame(
    confidence_results,
    columns=[
        "Confidence Level",
        "Lower Bound",
        "Upper Bound"
    ]
)
print("\nConfidence Intervals:")
print(ci_table)
```

[36] ✓ 0.0s Python

Confidence Intervals:

	Confidence Level	Lower Bound	Upper Bound
0	90.0	310.165192	335.768306
1	95.0	307.708412	338.225086
2	99.0	302.899854	343.033644

```
# 10. Compare 90%, 95% and 99% confidence intervals
print("\nComparison of Confidence Intervals:")
for row in confidence_results:
    print(
        f"{row[0]:.0f}% CI: "
        f"{row[1]:.2f} to {row[2]:.2f}"
    )
```

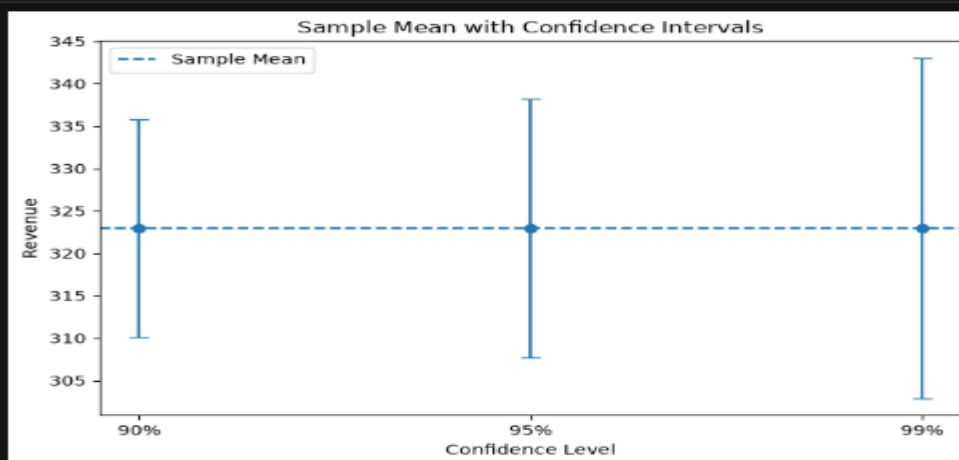
[37] ✓ 0.0s Python

Comparison of Confidence Intervals:
90% CI: 310.17 to 335.77
95% CI: 307.71 to 338.23
99% CI: 302.90 to 343.03

```

# 11. Visualization of sample mean and confidence intervals
lower_errors = [
    sample_mean - row[1]
    for row in confidence_results
]
upper_errors = [
    row[2] - sample_mean
    for row in confidence_results
]
plt.figure(figsize=(8, 5))
plt.errorbar(
    ["90%", "95%", "99%"],
    [sample_mean] * 3,
    yerr=[lower_errors, upper_errors],
    fmt="o",
    capsize=5
)
plt.axhline(
    sample_mean,
    linestyle="--",
    label="Sample Mean"
)
plt.xlabel("Confidence Level")
plt.ylabel("Revenue")
plt.title("Sample Mean with Confidence Intervals")
plt.legend()
plt.show()

```



```

# 12. Interpretation of 95% Confidence Interval
ci_95 = confidence_results[1]
print("\n95% Confidence Interval Interpretation:")
print(
    f"We are 95% confident that the true population "
    f"mean revenue lies between {ci_95[1]:.2f} "
    f"and {ci_95[2]:.2f}."
)

```

95% Confidence Interval Interpretation:
 We are 95% confident that the true population mean revenue lies between 307.71 and 338.23.

```

# 13. Calculate proportion of customers in each category
customer_type = df["customer_type"].dropna()
customer_counts = customer_type.value_counts()
customer_proportions = customer_type.value_counts(normalize=True)
print("\nCustomer Counts:")
print(customer_counts)
print("\nCustomer Proportions:")
print(customer_proportions)

```

Customer Counts:
 customer_type
 Member 501
 Normal 499
 Name: count, dtype: int64

Customer Proportions:
 customer_type
 Member 0.501
 Normal 0.499
 Name: proportion, dtype: float64

```
# 14. Calculate 95% Confidence Interval for Member customers
member_count = (customer_type == "Member").sum()
total_customers = len(customer_type)
member_proportion = member_count / total_customers
standard_error_proportion = np.sqrt(
    member_proportion *
    (1 - member_proportion) /
    total_customers
)
z_value = stats.norm.ppf(0.975)
margin_error_proportion = (
    z_value * standard_error_proportion
)
proportion_lower = (
    member_proportion -
    margin_error_proportion
)
proportion_upper = (
    member_proportion +
    margin_error_proportion
)
print("\nMember Customer Proportion:")
print(member_proportion)
print("\n95% Confidence Interval for Member Customers:")
print(
    proportion_lower,
    "to",
    proportion_upper
)
```

[41] ✓ 0.0s

Python

Member Customer Proportion:
0.501

95% Confidence Interval for Member Customers:
0.47001031036433716 to 0.5319896896356628

```
# 15. Interpretation of population proportion
print("\nProportion Interpretation:")
print(
    f"We are 95% confident that the true population "
    f"proportion of Member customers lies between "
    f"{proportion_lower:.4f} and "
    f"{proportion_upper:.4f}."
)
```

[42] ✓ 0.0s

Python

Proportion Interpretation:
We are 95% confident that the true population proportion of Member customers lies between 0.4700 and 0.5

PART B: BOOTSTRAPPING

```
# 16. Select revenue and calculate original sample median
revenue = df["revenue"].dropna()
original_median = revenue.median()
print("\nOriginal Sample Median:")
print(original_median)
```

[43] ✓ 0.0s

Python

```
Original Sample Median:
253.848
```

```
# 17, 18, 19. Bootstrap sampling 1000 times
bootstrap_medians = []
for i in range(1000):
    bootstrap_sample = revenue.sample(
        n=len(revenue),
        replace=True
    )
    bootstrap_median = bootstrap_sample.median()
    bootstrap_medians.append(bootstrap_median)
bootstrap_medians = np.array(bootstrap_medians)
```

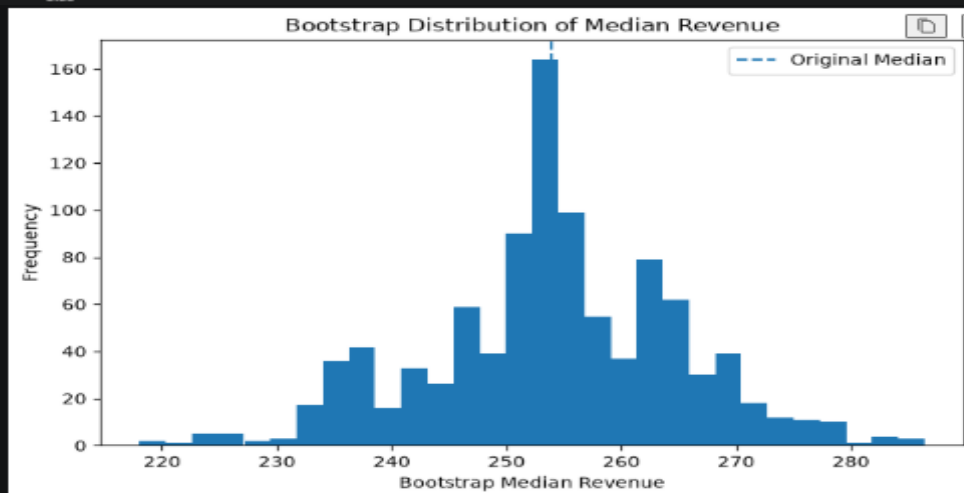
[44] ✓ 0.1s

Python

```
# 20. Histogram of bootstrap median values
plt.figure(figsize=(8, 5))
plt.hist(
    bootstrap_medians,
    bins=30
)
plt.axvline(
    original_median,
    linestyle="--",
    label="Original Median"
)
plt.xlabel("Bootstrap Median Revenue")
plt.ylabel("Frequency")
plt.title("Bootstrap Distribution of Median Revenue")
plt.legend()
plt.show()
```

[45] ✓ 0.0s

Python



```
# 21. Calculate 2.5th and 97.5th percentiles
lower_percentile = np.percentile(
    bootstrap_medians,
    2.5
)
upper_percentile = np.percentile(
    bootstrap_medians,
    97.5
)
print("\n2.5th Percentile:")
print(lower_percentile)
print("\n97.5th Percentile:")
print(upper_percentile)
```

[46] ✓ 0.0s

Python

```
2.5th Percentile:
233.163

97.5th Percentile:
276.948
```

```
# 22. Calculate 95% Bootstrap Confidence Interval
bootstrap_ci = (
    lower_percentile,
    upper_percentile
)
print("\n95% Bootstrap Confidence Interval:")
print(
    bootstrap_ci[0],
    "to",
    bootstrap_ci[1]
)
```

[47] ✓ 0.0s

Python

```
95% Bootstrap Confidence Interval:
233.163 to 276.948
```

```
# 23. Display original median and bootstrap CI
print("\nOriginal Sample Median:")
print(original_median)
print("\n95% Bootstrap Confidence Interval:")
print(
    f"{bootstrap_ci[0]:.2f} to "
    f"{bootstrap_ci[1]:.2f}"
)
```

[48] ✓ 0.0s

Python

```
Original Sample Median:
253.848
```

```
95% Bootstrap Confidence Interval:
233.16 to 276.95
```

```
# 24. Compare original median with confidence interval
print("\nComparison:")
if bootstrap_ci[0] <= original_median <= bootstrap_ci[1]:
    print(
        "The original sample median lies within "
        "the 95% bootstrap confidence interval."
    )
else:
    print(
        "The original sample median lies outside "
        "the 95% bootstrap confidence interval."
    )
```

[49] ✓ 0.0s

Python

```
Comparison:
The original sample median lies within the 95% bootstrap confidence interval.
```

```
# 25. Interpretation
print("\nBootstrap Interpretation:")
print(
    f"We are 95% confident that the population "
    f"median revenue lies approximately between "
    f"{bootstrap_ci[0]:.2f} and "
    f"{bootstrap_ci[1]:.2f}."
)
```

[50] ✓ 0.0s

Python

```
Bootstrap Interpretation:
We are 95% confident that the population median revenue lies approximately between 233.16 and 276.95.
```

```
# 26. Conclusion
print("\nConclusion:")
print(
    "Confidence intervals help businesses estimate "
    "population parameters such as mean revenue and "
    "customer proportions from sample data. "
    "Bootstrapping helps estimate the uncertainty of "
    "statistics such as the median. These techniques "
    "help businesses make better decisions using "
    "sample data."
)
```

[51] ✓ 0.0s

Python

```
Conclusion:
Confidence intervals help businesses estimate population parameters such as mean revenue and customer pr
```